clusions drawn from this inductive study were highly unfavorable to preferred stocks as a form of straight investment.[6]

A More Recent Study. A more recent investigation published by the Bureau of Business Research of the University of Michigan leads its author to a quite different opinion.[7] His "tests" of preferred stocks preceded by bond issues (both railroad and industrial) indicate clearly that senior shares of this type do not offer a satisfactory medium of investment. But with respect to industrial preferred stocks not preceded by bonds, the author's tests bring him to the opposite conclusion. Of these, he asserts that "they appear to meet the most exacting investment tests" and also that diversified investment in such issues would seem to "provide both a degree of safety for principal and an income return greater than that achieved by industrial or railroad bonds."

The deduction that it is better to buy preferred stocks *without* rather than *with* bonds ahead of them is undoubtedly sound, since the latter group is clearly more vulnerable to adverse developments. But in our view the methods followed in this investigation are open to certain objections that greatly diminish the practical value of its other conclusions.8 One feature of the study, however, deserves particular comment. The detailed figures show in striking fashion that the *stability* of nearly every preferred stock considered was directly dependent upon an *increase* in the value of the common stock. The preferred stockholder had a satisfactory investment only while the common stock was proving a profitable speculation. As soon as any common stock declined in market value below the original price, the preferred shares did likewise.

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[6] Quotations were not obtainable, even from the issuing houses, for 70 out of 607 issues. Hence the loss to the investor was undoubtedly greater than that indicated by the 537 cases studied statistically. For further details of this study see: Arthur S. Dewing, "The Role of Economic Profits in the Return on Investments," *Harvard Business Review*, Vol. I, pp. 451, 461–462; Arthur S. Dewing, *Financial Policy of Corporations*, Book vi, Chap. 2, pp. 1198–1199, New York, 1926.

[7] Rodkey, Robert G., Preferred Stocks as Long-term Investments, Ann Arbor, University of Michigan Press, 1932.

[8] For a brief statement of Dr. Rodkey's approach and of the objections thereto see the 1934 edition of this work, Appendix Note 25.